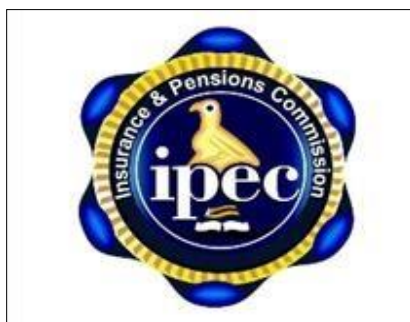




**ZIMBABWE INTEGRATING CAPITAL AND RISK PROGRAMME
(‘ZICARP’)**

**TS 2 - Technical Specification on
Valuation of Assets and Non-Technical Provisions**



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1. Introduction

- 1.1 The objective of this updated Technical Specification 2 ('TS 2') is to outline the basis for valuing assets and non-technical provisions under the Zimbabwe Integrating Capital and Risk Programme ('ZICARP').
- 1.2 This Specification also sets out the details of assets and liabilities that must be considered to constitute regulatory risk-based capital.
- 1.3 The ultimate responsibility for ensuring that the valuation of an insurer's assets and liabilities meets the requirements of this Specification rests with its Board of Directors ('Board').

Application

- 1.4 This TS 2 applies to all insurers that are licensed and supervised by the Insurance and Pensions Commission ('IPEC' or the 'Commission').

Effective Date

- 1.5 This updated Specification Version 3 is effective 1 January 2023 and should be read in conjunction with Circular 23 of 2021 which implements ZICARP.

2. Duties and Accountabilities under ZICARP

- 1.1. The Board is ultimately responsible for the solvency assessment and management of the insurer. The Board must ensure that the insurer always meets all the risk-based capital requirements.
- 1.2. The Actuarial Function will report to the Board and provide assurance that the calculations of solvency capital requirements are accurate and compliant with the requirements of the ZICARP framework.
- 1.3. The External Auditor must audit the financial health of an insurer in accordance with its legal and regulatory obligations. The Auditor must report to the Board and IPEC any matters identified during the audit process that may cause the insurer not to be financially sound.
- 1.4. The Internal Audit Function shall perform regular independent and objective assessments of key components of the ZICARP framework.
- 1.5. The Compliance Function shall have the authority and obligation to promptly inform the chairperson of the board directly in the event of any contravention of the Insurance Act [Chapter 24:07] and any other major non-compliance by a member of management or any staff member for that matter or a material non-compliance by the insurer with the ZICARP framework or an external obligation.
- 1.6. The Risk Management Function reports to the Board and must:
 - 1.6.1. Provide specialist analysis and perform risk reviews;
 - 1.6.2. Identify, measure, monitor and manage the risks the insurer faces;
 - 1.6.3. Gain and maintain an aggregated view of the risk profile of the insurer at an enterprise-wide and individual business unit level;

- 1.6.4. Conduct regular stress testing and scenario analyses, including in respect of outliers or matters with low probability but high potential impact; and
 - 1.6.5. Have oversight of ERM and ORSA implementation.
- 1.7. Detailed roles and accountabilities for the Board and Control Functions under ZICARP are further outlined in TS 1 and Governance and Risk Specifications 2,3 and 4.

3. Valuation of Assets

- 3.1 Assets and liabilities must be valued at fair value in terms of IFRS and as audited by an External Auditor, except where the Commission prescribes otherwise.
- 3.2 Fair value is defined as the price that would be received from selling an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.
- 3.3 Where quoted values are not available, insurers should use the mark-to-model approach. Securities Exchange Commission of Zimbabwe also provides guidance on the valuation of properties and unquoted equities.

4. Inadmissible Assets

Overview

- 4.1 The following assets shall be wholly excluded in determining the value of assets for solvency purposes:
- 4.1.1 Operating assets such as motor vehicles, furniture and fittings, and information technology hardware;
 - 4.1.2 Intangible assets such as goodwill and information technology software;
 - 4.1.3 Guarantees given to the insurer and all other off-balance sheet items, other than guarantees given by a reinsurer in the course of reinsurance business;
 - 4.1.4 Assets on which the insurer does not have a legal title including assets that are under legal disputes;
 - 4.1.5 Encumbered assets that are not approved by the Commission (examples provided in the following section); and
 - 4.1.6 Deferred tax assets, which are summarised in the subsequent section.
- 4.2 Determination of eligible own funds to demonstrate solvency is further explained in **Technical Specification 4 – Valuation of Eligible Own Funds**.

Encumbered Assets

- 4.3 **Assets of insurers held in branches:** may be regarded as encumbered because the insurer may not be free to use the assets to cover policyholders' liabilities in Zimbabwe if the law of the foreign jurisdiction in which the insurer's branch is established requires that the assets covering the liabilities of the branch be held in trust;

- 4.4 **Assets backing financial commitments:** The assets supporting an insurer's formal promise to provide additional capital to another entity may be viewed as encumbered since the assets could be invested in the entity later;
- 4.5 **Margins on financial contracts:** Given that the assets cannot be fully withdrawn until the trade is closed out, when an insurer keeps a margin to trade with financial contracts, the margin may be viewed as encumbered;
- 4.6 **Collateral assets/security deposit:** Assets that are kept as security or collateral (such as for the repayment of a loan, a guarantee from a lender, or a deposit obtained from a reinsurer) may be viewed as encumbered because they cannot be fully withdrawn until the security or collateral expires;
- 4.7 **Finance leases:** If the assets do not fit the IFRS meaning of an intangible asset, they may be regarded as encumbered;
- 4.8 **Subordinated loans:** Assets reflecting a subordinated loan made by an insurer to a subsidiary may be deemed encumbered; and
- 4.9 **Other claims on assets:** Claims on assets that can only be enforced or realized if the entity seeking to do so has fulfilled all of its obligations may be deemed to be encumbered.



Deferred Tax Assets

- 4.10 Deferred taxes should be calculated based on the difference between the values ascribed to assets and liabilities in accordance with TS 2 and TS 4 (Valuation of Assets, Liabilities and Eligible Own Funds), and the value ascribed to the same assets and liabilities reported for tax purposes.

5. Contingent Assets and Liabilities

- 5.1 A contingent asset is a possible asset that arises from past events, and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.
- 5.2 A contingent liability is a possible obligation that arises from past events but its payment depends on whether some uncertain future event occurs.
- 5.3 For solvency purposes, contingent liabilities should be defined and valued according to IFRS but recognised as a liability. Contingent liabilities should also be reported to the Commission and be subject to continuous assessment.
- 5.4 Contingent assets must not be recognised for financial soundness purposes.

Financial liabilities

- 5.5 For financial soundness purposes, financial liabilities or non-technical liabilities should be valued in conformity with IFRS fair value upon initial recognition.
- 5.6 For financial liabilities that relate to an insurer's own debt instruments issued, the value should reflect the insurer's own credit standing at inception. No subsequent adjustments should be made to take account



of the change in the insurer's own credit standing. Adjustments for changes in the risk-free rate must be accounted for.

- 5.7 In many instances, assets and liabilities (other than technical provisions) valued in accordance with IFRS standards will result in valuations that are consistent with an economic valuation approach.
- 5.8 Consequently, insurers should use the value of assets and liabilities (other than technical provisions) derived under IFRS for financial soundness purposes, unless otherwise specified in the Technical Specifications.



6. TS A1: Glossary

Contingent asset: A possible asset that arises from past events, and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

Contingent liability: A contingent liability is a possible obligation that arises from past events but its payment depends on whether some uncertain future event occurs.

Fair value: The price that would be received from selling an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Group undertaking: A juristic person in which the insurer alone, or with its subsidiaries or holding company, directly holds.

Inadmissible assets: Assets that shall not be considered for the purposes of calculating the solvency of an insurance company. These include; tangible fixed assets including plant and equipment, deficiencies of net assets in subsidiaries and debts, other loans owed to the firm by counterparties if the obligation to pay is more than 180 days overdue, etc.